

NOVAHR

HR and Payroll, Built for South African Business

Payroll Setup Guide

Configuring payroll for South African compliance

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NovaHR Payroll Setup Guide

The screenshot displays the NovaHR web application interface. On the left is a sidebar with navigation links: Dashboard, Employees, Payroll, Compliance, Leave, Deductions, Reports, Tenants, Billing, and Settings (highlighted). The main content area is titled 'Settings' and includes a sub-header 'Manage your company profile, payroll configuration and leave policies.' Below this is a tabbed interface with tabs for Company, Users, Departments, Payroll (selected), Leave policies, Notifications, Appearance, and Audit log. The 'Payroll' tab contains three sections: 'Pay run configuration', 'Statutory registration', and 'SDL and UIF'. The 'Pay run configuration' section includes fields for '1 Pay frequency' (set to 'Monthly'), '2 Pay day' (set to '25'), 'Banking partner' (set to 'First National Bank'), 'Currency' (set to 'ZAR'), and 'Default pension contribution (%)' (set to '7.5'). A 'Save changes' button is at the bottom right of this section. The 'Statutory registration' section includes fields for 'PAYE reference number' (e.g. 7480123456), 'UIF reference number' (e.g. U123456789), 'SDL reference number' (e.g. L123456789), and 'Tax year' (2026/2027). A 'Save reference numbers' button is at the bottom right of this section. The 'SDL and UIF' section includes a toggle for 'UIF contributions' (checked) and a toggle for 'SDL levy' (checked). Below these sections are two expandable sections: 'SDL and UIF' and 'Netcash integration'. At the bottom of the page, a footer note reads: 'Payroll settings: configure your pay cycle'.

Pay run configuration
Pay frequency, pay day, statutory references and defaults.

Pay run configuration

1 Pay frequency
Monthly

2 Pay day
25

Banking partner
First National Bank

Currency
ZAR

Default pension contribution (%)
7.5

Save changes

Statutory registration

PAYE reference number
e.g. 7480123456

UIF reference number
e.g. U123456789

SDL reference number
e.g. L123456789

Tax year
2026/2027

Save reference numbers

UIF contributions
Withhold and remit Unemployment Insurance Fund contributions. ☒

SDL levy
Apply the Skills Development Levy to monthly payroll runs. ☒

SDL and UIF
Statutory tax rates and contribution ceilings.

Netcash integration
Service keys, environment and payment instruction.

Payroll settings: configure your pay cycle

Audience: HR Administrators preparing for their first payroll run **Purpose:** Collect and verify everything needed before the first run, so payslips are right the first time.

1. Company-Level Information

Item	Where to find it	Where it goes in NovaHR
PAYE reference number (7 + 3 digits starting with 7)	SARS eFiling / EMP registration	Settings, Payroll
UIF reference number	Department of Employment and Labour / uFiling	Settings, Payroll
SDL reference number	SARS (if liable)	Settings, Payroll
SDL liability	Annual payroll above R500,000?	Settings, Payroll (toggle)
Pay frequency	Your practice (monthly, bi-weekly, weekly)	Settings, Payroll
Pay day	Your practice (e.g. 25th)	Settings, Payroll
Company bank account	Your bank	Settings, Company

2. Per-Employee Information



Dashboard

Employees

Payroll

Compliance

Leave

Deductions

Reports

Tenants

Billing

Settings

LD

Lerato Dlamini

HR Administrator

Employees

NT NovaTech Solutions

Search employees, pages... 3K

Back to employees

AP

Aisha Patel

Active

Senior Software Engineer - Engineering

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+27 71 884 2256

Cape Town, HQ

Full-time

Employee #NT-0003

Joined 11 Feb 2019

Edit profile

Overview

Compensation

Leave

Documents

Employment details

#

Employee number

NT-0003

Job title

Senior Software Engineer

Start date

11 Feb 2019

Employment type

Full-time

Location

Cape Town, HQ

Reports to

Thabo Nkosi

Personal information

#

ID number

9111030800185

Tax number

9012345673

Residential address

5 Roeland Street, Cape Town, 8001

Emergency contact

Name

Kavi Patel

Relationship

Sibling

Phone

+27 72 110 4587

Employment Equity

Used for EEA2 and EEA4 reporting. Self-declared and confidential.

Race

African

Gender

Female

Occupational level

Skilled technical

☐ Foreign national

☐ Person with a disability

Save equity details

Danger zone

Terminate employment

This action will change the employee status to terminated and deactivate their payroll profile.

Terminate

Data and privacy (POPIA)

Export everything held on this employee, or erase their personal data on request.

Export data

Download a full copy of this employee's records as JSON (POPIA access request).

Export data

Erase personal data

Redacts identifying details. Payroll records are retained for the statutory period.

Erase

Contact

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Tenure

11 Feb 2019

Start date

7 years, 5 months

At the company

Pay snapshot

R 50,356.59

Net pay per month

Annual leave

-9 days remaining

27/18

Annual leave balance for this year

Payroll profile

Set up payroll profile

Employee payroll profile: set salary and tax details

Collect for **every** employee before capture:

Identity

- Full names and surname (as per ID);
- SA ID number or passport number;
- Date of birth (**drives age-based tax rebates; must be correct**);
- Contact details (email for payslip delivery and self-service).

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Employment

- Position and department;
- Start date (drives leave accrual and first-6-months sick leave rule);
- Working pattern (5-day or 6-day week; drives daily rates and leave equivalents).

Tax

- Income tax number (10 digits; employees can get theirs from SARS);
- Any SARS tax directive (fixed rate) if applicable.

Remuneration

- Basic salary (per pay period);
- Housing allowance (fully taxable);
- Travel allowance and its PAYE inclusion rate: 80% standard; 20% only if you are satisfied at least 80% of use is business (logbook);
- Other allowances and recurring earnings;
- Overtime eligibility and agreed rates.

Deductions and Fringe

- Pension/provident fund percentage or amount (employee and employer portions);
- Medical aid: monthly contribution and the **number of dependants** (drives Medical Scheme Fees Tax Credit: R376 main member, R376 first dependant, R254 each additional, 2026/27);
- Garnishee orders or other recurring deductions.

Banking

- Bank, branch code, account number, account type (verify against a bank letter or statement; payroll fraud usually starts with a bank-detail change).

Leave

- Opening balances at cut-over: annual, sick (with cycle anchor), family responsibility.

3. Verification Before First Run

The screenshot displays the NovaHR Payroll interface. On the left is a sidebar with navigation links: Dashboard, Employees, Payroll (selected), Compliance, Leave, Deductions, Reports, Tenants, Billing, and Settings. The main content area is titled 'Payroll' and includes a sub-header 'Review pay runs, track totals and publish payslips to your team.' Below this, a prominent blue box states 'August 2026 payroll is ready to pay' for 15 employees with a net pay of R 846,877.98, with a 'Submit payroll to Netcash' button. A summary row shows: Next pay date (25 Sept 2026), Projected gross (R1.3M), Projected net (R 817.9K), and Year to date (R 5.7M). Below this is a 'Netcash account' section with a 'Load' button. The 'September 2026 payroll' section is marked 'Scheduled' and shows an upcoming run for 16 eligible employees with a projected gross of R1,289,166.68, with a 'Start payroll run' button. At the bottom, a 'Payroll history' table shows the August 2026 run as 'Completed'.

Period	Pay date	Status	Employees	Gross	Net
August 2026	25 Aug 2026	Completed	15	R 1,347,500.01	R 846,877.98

Running your first payroll

- ☐ Every employee's DOB and ID number cross-checked against ID documents;
- ☐ Dependant counts confirmed against medical aid certificates;
- ☐ Pension percentages confirmed against fund statements;
- ☐ Banking details verified against bank confirmations;
- ☐ One calculated payslip per pay grade checked against your previous system or the SARS calculator;
- ☐ Your accountant has reviewed a sample payslip.

4. Cut-Over Rules

- Do the first NovaHR run **in parallel** with your old system for one period; reconcile to the cent before switching;
- Keep your previous payroll history accessible: SARS requires 5 years of records, and history does not migrate automatically;
- Mid-tax-year cut-over: year-to-date figures from your old system are needed for accurate annual reconciliation (EMP501/IRP5); export YTD reports from the old system as at cut-over [YTD import: see roadmap ●].

5. Ongoing Monthly Rhythm

1. Before the run: process joiners, leavers, salary changes, once-off items, unpaid leave;
2. Run and review; sample-check anything unusual;
3. Approve and publish; pay employees;
4. By the 7th of the next month: EMP201 filed and paid, UI-19 submitted;
5. Archive the run report.